Corporate Context and Sustainability Framework

Sustainability and Innovation Deparment
January 2026

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aqualia

1. Context

Aqualia. The Water Sector. Competitors

The water sector is undergoing a profound transformation, driven by climate urgency, resource scarcity and increasingly stringent regulatory requirements. The main international operators have developed ambitious sustainability strategies that integrate environmental, social and governance considerations at the core of their business model.

Their strategy is structured around five key pillars: **decarbonisation, decontamination and nature preservation, sustainable use and regeneration of resources, resilience of essential services, and ethical governance.**

Their approach is characterised by the integration of advanced solutions for emerging pollutants, the energy recovery of waste, and the deployment of technologies such as desalination and water reuse. This comprehensive approach aims to reduce operational risks and generate competitive advantages in an increasingly demanding market.

They combine the sector's common themes — **climate change, biodiversity, circular economy, business conduct and labour rights**— with a broader and more ambitious strategic perspective.

Their strategy sets specific targets for decarbonisation, the adaptation of vulnerable infrastructures and the preservation of water resources through reuse, aquifer recharge and desalination. It also incorporates concrete commitments on biodiversity and the circular economy. This approach positions sustainability as a strategic axis guiding investments in innovation, performance-based contracting and international expansion, ensuring that each material topic strengthens business resilience and alignment with the ecological transition.

Their strategy focuses on **service quality and continuity, transparency, training and environmental protection**, complemented by actions in technological innovation and active participation in sectoral forums.

They also consider matters related to digitalisation, operational resilience and social action, which are gaining increasing relevance in a context marked by water stress and regulatory fragmentation. Their approach integrates advanced data management and the optimisation of networks to improve operational efficiency and customer experience.

1. Context

The Water Sector. Competitors. Best Practices

The analysis of best practices within the sector reveals a set of technological and operational capabilities that define excellence in the management of the complete water cycle. These practices represent the state of the art in innovation, sustainability and operational efficiency.

VEOLIA

Comprehensive and Sustainable Management

Complete coverage of all stages of the water cycle (abstraction, treatment, distribution, sanitation and reuse) with an integrated focus on governance, technological innovation and environmental sustainability.

Advanced Digitalisation

Implementation of integrated platforms such as AquaCIS for CRM, billing and asset management (EAM), significantly improving operational efficiency and customer service quality through automated processes and advanced analytics.

Full-Cycle Audits

Specialised services for industries that optimise water, energy and chemical consumption, aligned with ISO standards and international efficiency benchmarks.

suez

Aquadvanced Suite

Modular solution for real-time management of distribution networks, borehole abstractions and urban drainage systems, incorporating advanced predictive models for early detection of leaks and flooding.

Circular Economy

Biofactories that apply innovative technologies for sludge recovery through catalytic methanisation and hydrothermal carbonisation, generating energy and value-added products.

AI for Water Crises

Application of artificial intelligence for predictive modelling of droughts and water stress scenarios, allowing crises to be anticipated and proactive adaptation strategies to be designed.

global omnium

Total Digitalisation

GoAigua platform for integrating data, digital twins and real-time monitoring.

360 Efficiency

Energy optimisation in plants and pumping systems, leakage reduction and improved climate resilience.

Sensors and Big Data

Consolidation and cleansing of data to support strategic decision-making.

1. Context

The Water Sector. Competitors. Strengths and Weaknesses

The SWOT analysis of the main competitors makes it possible to identify competitive advantages and common areas of vulnerability within the water sector. This comparative assessment is essential for strategically positioning Aqualia in an increasingly competitive and regulated market.

Shared Strengths in the Sector

- **Comprehensive coverage and operational scale:** Full management of the water cycle in Spain (treatment, sanitation, reuse), supported by large customer portfolios and extensive capacity for managing operational data.
- **Robust KPIs and strategic focus:** Commitment to “smart, circular and resilient” cities, with consolidated performance indicators.
- **Advanced digital capabilities:** Technological platforms (AquaCIS, GoAigua/Xylem Vue) for CRM, billing and EAM, as well as full-cycle audits that reduce water, energy and chemical consumption.
- **Leadership in digitalisation:** Deployment of digital twins and real-time operations, with proven success cases (Valencia) and international expansion (USA/Canada).
- **Experience and track record:** More than 130 years of integrated management (abstraction–treatment–distribution–sanitation), providing technical know-how and a strong reputation.

Common Weaknesses and Risks

- **High exposure to public and concession contracts:** Dependence on evolving regulatory frameworks, a structural characteristic of the urban water sector that introduces uncertainty in long-term planning.
- **Technological integration complexity:** Heterogeneous IoT and OT ecosystems that hinder interoperability and increase maintenance costs.
- **Cybersecurity risks:** Growing digitalisation exposes critical infrastructures to cyber threats, requiring constant investment in protection and resilience.
- **Rigidity in regulatory adaptation:** The pace of regulatory change (particularly in sustainability and ESG reporting) demands agile organisational capabilities that are not always present.
- **Supply chain pressures:** Dependence on specialised suppliers for technology and chemical products in a context of geopolitical uncertainty.

This analysis shows that competitive differentiation in the water sector increasingly depends on technological innovation capability, proactive management of regulatory and cyber risks, and the development of operational resilience within an environment of growing complexity.

1. Contexto

Trends. World Economic Forum

The World Economic Forum (WEF) systematically identifies the most significant risks that will shape the global landscape in the coming decades. For the water sector, four lines of action are particularly critical for translating these global risks into concrete and resilient operational strategies.

Assess Climate Vulnerability of Critical Assets

The exposure to extreme weather events —a risk that continues to dominate the long-term horizon according to the WEF— requires systematic reviews of pumping stations, reservoirs, collectors, treatment plants and main networks. It is essential to develop updated vulnerability maps that identify critical points within infrastructures facing floods, prolonged droughts, heatwaves and increasingly frequent and intense extreme weather events.

Anticipate Disruptions in Supply Chains

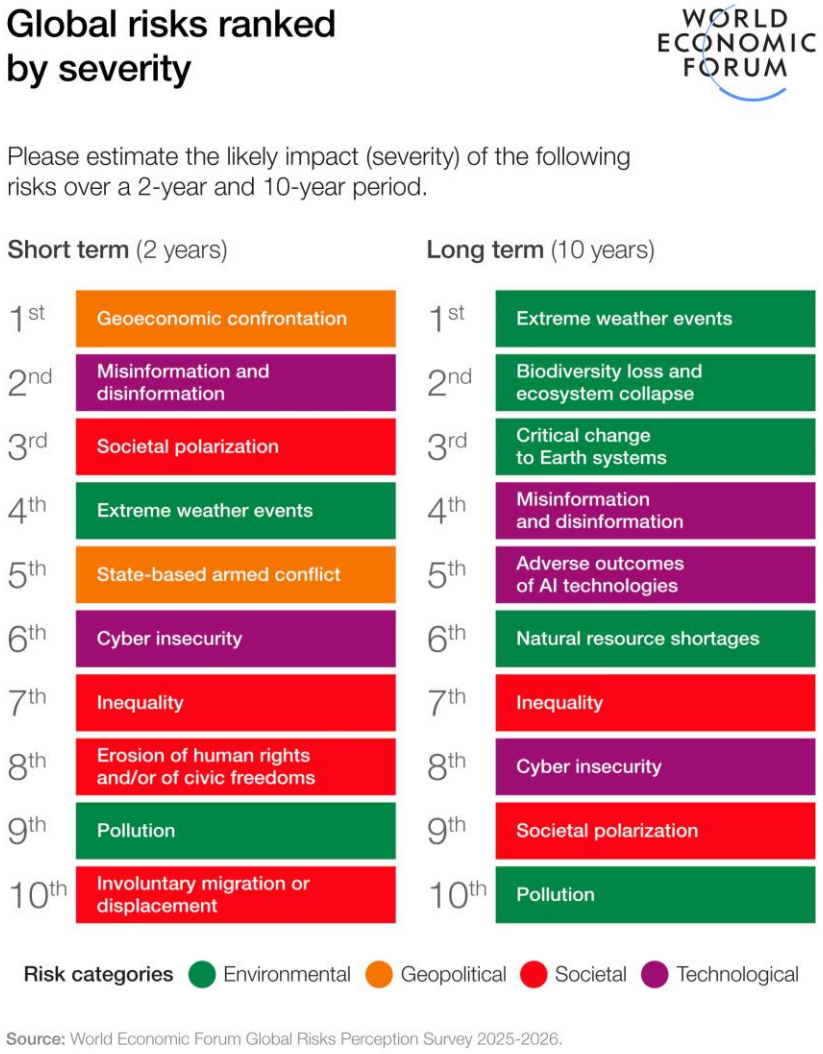
Identifying critical consumption of water, energy and essential materials makes it possible to anticipate potential disruptions resulting from scarcity scenarios or geoeconomic tensions. The rise of geoeconomic confrontation and the associated risks for supply chains (the second most significant global risk) compel operators to diversify strategic suppliers, establish reserves of critical materials and develop robust contingency plans to ensure operational continuity.

Establish Linked Environmental Indicators

Develop specific metrics that reflect the most relevant risks for the 2036 horizon: water efficiency (m^3/user, (m^3/user, leakage reduction), emissions reduction (tCO_2e/m^3 treated, carbon neutrality), water quality quality (compliance with emerging parameters, elimination of pollutants), and biodiversity linked to abstractions to abstractions and discharges (ecological quality indices, habitat restoration). These indicators allow robust allow robust environmental metrics to be embedded into corporate dashboards.

Integrate WEF Scenarios into the Corporate Risk Map

Translate the global risks identified by the WEF into assessments tailored to the corporate context. This involves linking climate, geopolitical, technological and social risks with existing risk-management processes, establishing stress-testing scenarios and adaptation plans that strengthen organisational resilience in an increasingly uncertain and complex future.



1. Context

Regulatory

The year 2025 has been marked by a new approach to corporate sustainability in Europe, emerging at the end of the previous year following the publication of the **Draghi Report** in September 2024. This document was conceived as an exhaustive and unrestrained analysis of why the European Union was losing **competitiveness** in the economic and technological arena compared with the United States and China.

In December 2024, the new European Commission, under its 2024–2029 mandate, adopted the Draghi Report as the foundation for its central economic strategy, formalised in the **"Competitiveness Compass"**. These developments coincided with the new Trump administration across the Atlantic and its drastic deregulatory agenda regarding ESG matters and the withdrawal of environmental incentives.

1 Strengthening Competitiveness

Reduction of the sustainability regulatory burden through the **Omnibus I Simplification Package**, which addresses sustainability reporting (CSRD), Taxonomy and Due Diligence (CSDDD), simplifying requirements for companies without compromising environmental objectives.

2 Promotion of Innovation

Support for "clean technologies and products" to prevent Europe from falling behind China. In February 2025, the **Clean Industrial Deal** was published, establishing tax incentives, dedicated financing and favourable regulatory frameworks for the green industrial transition.

3 Economic Security

A firm commitment to clean energies to avoid dependence on fossil fuels, reiterating that the path towards carbon neutrality remains unchanged. Diversification of energy sources and reinforcement of European strategic autonomy in critical sectors.

n the same direction, in June 2025, with the European Water Resilience Strategy, the European Commission issued a clear mandate to companies in the sector:

> **Address water scarcity and strengthen innovation and competitiveness in the water industry, adopting a clean and circular approach.r.**

This mandate integrates water-security objectives with industrial-competitiveness goals, recognising water as a strategic resource essential for the European economy.

1. Context

Regulatory

From 2020 onwards, a series of key regulations preceding the European Water Resilience Strategy have paved the way towards an increasingly demanding and ambitious regulatory framework for sustainable water management. These regulations form the pillars on which the sector's current strategy is built.

2021: Glasgow Declaration for Fair Water Footprints

International scope. It promotes corporate commitment to achieving fair and sustainable supply chains in water use, fostering transparency in corporate water footprints.

2022: CSRD Directive and ESRS E3

Scope: European Union. The specific standard requiring large companies to report impacts, dependencies and risks associated with water, using consistent and verifiable criteria.

2024: Directive 2024/3019 on Urban Wastewater

Scope: European Union. Modernises treatment with three key priorities: **energy efficiency, emerging pollutants and the circular economy**. It drives investment in advanced treatment technologies and sets energy-neutrality objectives.

2024: Royal Decree 1985/2024

Scope: Spain. Establishes the national framework to promote the reuse of wastewater (urban and industrial), enabling the circular economy and reducing pressure on conventional water resources.

2024: Nature Credits Roadmap

Scope: European Commission. Outlines the future architecture for voluntary nature-credit markets, including water and biodiversity credits, creating economic incentives for conservation.

2025: EU Water Resilience Strategy

Scope: European Union. A high-level strategy adopted in June, focused on water security in the face of scarcity and pollution. It establishes an integrated, circular and digitalised agenda for Europe, coordinating sectoral policies.

2025–2028: "Water Efficiency First" Plans

Scope: European Union. Promote reuse in agriculture and industry, leakage reduction and strict consumption control in high-intensity sectors (e.g., data centres). They focus on operational efficiency as the guiding principle, prioritising optimisation of water use over new abstractions.

This constantly evolving regulatory framework requires water-sector companies to demonstrate agile adaptation capabilities, continuous technological investment and a strategic vision that integrates sustainability, innovation and competitiveness as inseparable pillars of the business model.

1. Context

Regulatory. European Water Resilience Strategy

The European Commission has established an unprecedented strategic framework to guarantee water security across the continent, recognising **that water management has become a global imperative for risk mitigation and resilience for both companies and nations.**

This strategy responds to the increasing pressure on European water resources caused by climate change, demographic growth, agricultural and industrial intensification, and the degradation of aquatic ecosystems.

1	**Governance and Implementation** Strengthening institutional frameworks and coordination mechanisms across administrative levels (European, national, regional and local) to ensure integrated river-basin management. This includes enhancing administrative capacity, harmonising regulations and establishing participatory governance structures that involve all relevant stakeholders.
2	**Financing, Investment and Infrastructure** Mobilisation of public and private financial resources to renew and expand obsolete or insufficient water infrastructures. Prioritisation of investment in green infrastructure and nature-based solutions, modernisation of distribution networks to reduce losses, and development of facilities for water reuse and strategic storage.
3	**Digitalisation** Deployment of advanced digital technologies (IoT, artificial intelligence, big data analytics, digital twins) to optimise the real-time management of water systems. Digitalisation enables early leak detection, optimisation of energy consumption, prediction of infrastructure failures and enhanced operational decision-making through predictive analytics.
4	**Research, Innovation, Industry and Skills** Promotion of R&D&I in water technologies (advanced membranes, removal of emerging pollutants, energy-efficient treatments), development of a competitive European water-solutions industry, and training of specialised human capital to address the sector's technical and managerial challenges.
5	**Security and Preparedness** Development of response capabilities for water-related crises (extreme droughts, accidental pollution, cyberattacks on critical infrastructure), establishment of strategic reserves, updated contingency plans and coordinated response protocols between authorities and operators to ensure supply during emergencies.

"Water Efficiency First" as a Guiding Principle

The European Commission establishes "Water Efficiency First" as the central axis of its strategy, with specific recommendations that include:— Demand reduction with a target of 10% improvement by 2030.— Transparent and participatory governance.— Sustained investment in specialised human talent.— Acceleration of digitalisation across the entire water cycle.— Strengthened cross-border and international cooperation in shared water resources management.

1. Context

Analysis of International ESG Standards

Leading sustainability analysts and international standards bodies have developed specific frameworks to assess the ESG performance of water-utilities. These frameworks define the material dimensions, key metrics and emerging trends that shape company assessments by investors, rating agencies and regulators. The convergence of these standards reflects the growing strategic importance of sustainable water management.

A deep understanding of these frameworks is essential for Aqualia, as they determine access to green finance, corporate reputation and the ability to anticipate regulatory requirements. Each analyst contributes a complementary perspective which, taken together, forms the complete landscape of expectations for the sector.

S&P Global

Multi & Water Utilities Sector

Assessment dimensions:

- **Environmental (44%):** climate strategy, water management, emissions control and biodiversity
- **Social (29%):** occupational health and safety, stakeholder engagement and social licence
- **Governance (27%):** business ethics, risk management and market-opportunity oversight

Identified levers of change: ageing networks and resistance to privatisation in developed markets, increasing water stress in emerging markets, regulatory pressure and the need for affordable tariffs. The shift towards tangible implementation of climate targets and OT/IT cybersecurity are emerging as critical criteria.

SASB

Water Utilities & Services Sector

Strategic pillars:

- Energy management and network efficiency
- Effluent and drinking-water quality
- Accessibility and supply resilience
- Climate-change impacts

Key metrics: NRW (non-revenue water), pipe replacement rate, incidents of effluent non-compliance, total energy consumption and share of renewable energy.

Regulatory connection: while SASB is not mandatory in the EU, it serves as a technical basis for CSRD and facilitates alignment with global frameworks (ISSB) and ESG assessments by international agencies.

MSCI

Water Utilities Sector

Strategic pillars:

- **Environmental (45%):** Water Stress (24.6%), Biodiversity (9.8%), Carbon Emissions (9.8%)
- **Social (20%):** product safety and quality
- **Governance (35%):** anti-corruption, transparency in procurement, crisis management and cybersecurity

Key trends: strengthened corporate governance, greater weight for biodiversity (alignment with TNFD), cybersecurity as an emerging material risk, and an energy transition integrated with water resilience.

Sustainalytics

Utilities Sector

Strategic pillars:

- Water use and water-resource management
- Emissions, effluents and waste
- Product governance (service quality and safety)
- Business ethics (anti-corruption, fair practices)
- Privacy and cybersecurity (growing risk)
- Community relations and biodiversity

Methodological improvements 2024–2025: separation of governance into Corporate and Stakeholder Governance, a new dedicated “Water” pillar with greater weight, expanded cybersecurity scope, and a dual controversy-scoring system (financial risk + reputational impact).

1. Context

Internal Management. ISO Regulatory Foundations

The ISO Management System Standards (Quality, Environmental, and Health & Safety) establish two fundamental pillars for any organisation committed to operational excellence and sustainability:

Organisational Context:
Determining the external and internal issues relevant to the organisation's purpose and strategic direction, and assessing its ability to achieve the intended outcomes of the management system.

Stakeholders:
Identifying the relevant stakeholders, along with their specific requirements and expectations, and establishing effective mechanisms for dialogue and response.

2024 Addendum: Integration of Climate Change

The 2024 regulatory update explicitly introduces climate change as a critical contextual factor. This reflects the international scientific consensus on the urgency of integrating climate considerations into corporate and operational strategy.

FDIS/ISO 14001:2026: Expansion of Environmental Scope

The final draft (FDIS) of ISO 14001:2026 significantly broadens the environmental aspects that organisations must evaluate. Companies are expected to explicitly consider:

- Climate-related impacts and dependencies
- Effects on biodiversity and natural ecosystems
- Overall ecosystem health in operational areas
- Availability and sustainable management of natural resources

This evolution acknowledges the interdependence between business systems and natural systems, requiring a holistic environmental-management approach. borrador final (FDIS) de la norma ISO 14001:2026 amplía significativamente el espectro de consideraciones ambientales que las organizaciones deben evaluar. Se espera que las empresas consideren explícitamente:

Integration within Aqualia: A Single Corporate Framework

Aqualia's Context and Stakeholder Procedure is currently under review, with strategic objectives across the organisation:

Document Integration:
The procedure will be incorporated into the Management Systems Manual, integrating it with the Sustainability Materiality Analysis to create a unified and coherent framework.

Corporate Unification:
A single corporate document will serve as a reference for all Management Systems and Processes at Aqualia, eliminating duplications and ensuring strategic coherence.

Territorial Flexibility:
Areas (Country/Region) and specific Activities (Information Security, Innovation, accredited laboratories, etc.) may prepare complementary context analyses when necessary, adapted to their local or functional needs.

This approach ensures global strategic alignment while preserving the necessary local adaptability.

1. Context

Internal Management. Integrated Management System Architecture

Aqualia's corporate-level management model integrates all key strategic elements into a coherent ecosystem that links context analysis with strategic planning and sustainability reporting.

Organisational Context

Systematic analysis of external and internal factors that affect Aqualia's ability to fulfil its strategic purpose and achieve the intended outcomes.

Stakeholders

Identification and characterisation of relevant stakeholders, their expectations, requirements, and mechanisms for two-way engagement.

Value Chain

Comprehensive mapping of upstream and downstream activities, identifying critical points of impact and dependency across the full water cycle.

Risk Management (S, C, F, O)

A comprehensive framework covering Strategic, Compliance, Financial and Operational risks, with protocols for identification, assessment and mitigation.

Double Materiality (IROs)

Bidirectional analysis of Impacts, Risks and Opportunities in accordance with the CSRD, assessing both the company's impact on sustainability and the impact of ESG factors on the business.

Strategic Sustainability Plan

The corporate roadmap that defines objectives, measurable targets, initiatives and resources required to achieve Aqualia's sustainability commitments.

Sustainability Policy

A high-level framework of principles and commitments that guides decision-making and action on sustainability at Aqualia, approved by senior management and communicated to all stakeholders.

Sustainability Report

A comprehensive annual report presenting Aqualia's ESG performance in line with international standards (GRI, SASB), including quantitative indicators, success stories and future commitments. .

2. Context

Global Customer Satisfaction Results 2024

The results of the satisfaction surveys carried out in 2024 reflect Aqualia's strong commitment to operational excellence and service quality across all its markets. With more than 7,000 surveys conducted globally, the data reveal exceptional satisfaction levels that position the company as a benchmark in the sector.

These results are the outcome of a sustained strategy of investment in infrastructure (€40 million annually in networks, sanitation and treatment), ongoing technological modernisation, and an unwavering commitment to process improvement. Differentiation by customer segment makes it possible to identify the specific strengths of each group and the areas for improvement needed to continue raising standards.

Satisfaction by Customer Segment

Key Success Factors

- **Sustained investment:** €40 million annually in the improvement and modernisation of networks, sanitation systems and treatment plants
- **Technological innovation:** implementation of advanced control systems, process digitalisation and real-time monitoring
- **Continuous improvement:** ISO certifications, periodic audits and action plans based on customer feedback
- **Corporate commitment:** service quality as a fundamental pillar of the business strategy

Achievements

- Guarantee of continuity and exceptional quality in the supply of drinking water
- Strengthening of institutional and industrial trust in all markets
- Positioning as a leading operator in the integral management of the urban water cycle

Households: 92%

92% rate the comprehensive service management positively.
96% rate water quality as excellent or very good, with 56% considering it excellent.
The most highly valued service channels are face-to-face offices, mobile app and telephone.

Institucional: 94%

4% are satisfied with the condition and maintenance of infrastructures.
93% report smooth and uninterrupted supply, reaching 100% satisfaction in municipalities with more than 5,000 inhabitants.
Responsiveness to incidents is highlighted as a key strength.

IIndustrial: 98%

98% overall satisfaction, almost reaching excellence in all assessed indicators.
Customers particularly value supply reliability, customised service-level agreements and the technical expertise of the support team.

1. Context

Global Customer Satisfaction Results 2024

The detailed analysis of customer satisfaction surveys by country reveals differentiated patterns that reflect the particular characteristics of each market, the specific expectations of local customers and the level of infrastructure maturity. In European markets, Aqualia maintains satisfaction levels above 65%, with Spain (88%), the Czech Republic (90%) and France (86%) standing out. However, Latin American markets, particularly Colombia, present significant opportunities for improvement.
This geographical diversity requires differentiated strategies that respect local idiosyncrasies while maintaining Aqualia's global standards of excellence.
The data allow both the identification of best practices that can be replicated, and the recognition of specific areas requiring focused action plans.

Spain **Sample:** 3.552 surveys | **Satisfaction:** 88%
Operational processes are highly rated (83%–90% satisfaction). Preferred channels: face-to-face offices, mobile app and telephone. Strengths include proactive communication and tariff transparency. Improvement opportunity: reducing response times in telephone assistance.

Portugal **Sample:** 700 surveys | **Satisfaction:** 65%
Main strengths: perceived water quality and adequate pressure. Brand trust and operational efficiency are recognised attributes. Improvement area: expanding digital service channels and reducing incident-resolution times.

Italy **Sample:** 1.104 encuestas | **Satisfaction:** 67%
Strengths: uninterrupted service continuity, clear understanding of the bill, and communication with the company perceived as a competitive advantage. Opportunity: improving perceived value and optimising complaint management.

France **Sample:** 441 surveys | **Satisfaction:** 86%
Telephone is the preferred contact channel. High appreciation for the professionalism of customer-service staff. Strong performance in clarity of information and transparency. Area for development: strengthening emerging digital channels. .

Czech Republic **Sample:** 1.000 surveys | **Satisfaction:** 90%
Leader in satisfaction across all evaluated markets. Differentiating factor: exceptional speed in resolving operational network issues. High transversal appreciation across all customer segments. A reference model for other markets.

Colombia **Sample:** 924 surveys | **Satisfaction:** 33%
Positive perception of service cost (59% consider the tariff reasonable). Critical challenges: significantly improving perceived water quality, supply continuity and overall customer experience. A priority action plan is under way for 2025–2026.

Strategic Conclusion: Strong consolidation in European markets with high satisfaction levels and strong brand recognition. A comprehensive improvement plan is required in Latin America to raise operational standards, enhance service perception and reach excellence levels comparable to mature markets.

1. Context

Aqualia's Challenges

Aqualia faces an increasingly complex environment that requires simultaneous responses across multiple fronts: technical, sustainability-related and commercial. These challenges are not isolated obstacles, but interconnected opportunities that demand an integrated vision and strong anticipation capability. Water resilience, digital transformation, excellence in ESG reporting and sustainable growth form the pillars of future strategic positioning.

Success in meeting these challenges will determine Aqualia's ability to maintain its sector leadership, access green financing under competitive conditions, comply with increasingly demanding regulatory expectations, and deliver a distinctive service that generates sustainable value for all stakeholders.

Technical Challenges

Improve resource availability

- Promote and scale the reuse of treated wastewater for agricultural, industrial and urban purposes
- Expand desalination capacity using energy-efficient technologies
- Increase network efficiency through innovative technological developments: reducing NRW (Non-Revenue Water) via sectorisation, predictive leak detection and intelligent pipe renewal
- Advance full digitalisation of the water cycle: digital twins, AI for demand prediction, IoT for real-time monitoring

Sustainability Challenges

ESG Reporting and Transparency

- dapt internal information systems to rigorously comply with CSRD and ESRS E3 (water) standards
- Incorporate the double-materiality principle: evaluating both the financial impacts of climate change on the company AND the company's impacts on society and the environment
- Implement full digital traceability of ESG data with independent external verification
- Integrate due diligence across the value chain (CSDDD): assessing social and environmental risks of critical suppliers

Access to Green Finance

- Strengthen the sustainable finance framework: green bonds, sustainability-linked loans and preferential access to European funds
- Demonstrate alignment with the EU Taxonomy for sustainable activities to secure capital under better conditions

Comercial Challenges

Sustainable Growth and Competitiveness

- Maintain sustainable growth, balancing geographic expansion with operational profitability
- Renew existing contracts by demonstrating added value and superior performance
- Be competitive in new tenders through innovative proposals integrating technology, sustainability and economic efficiency
- Develop circular-economy business models that generate additional revenue: sludge valorisation, nutrient recovery, sale of reclaimed water

Aqualia's Organisational Culture

- Harmonise corporate values across all operating countries
- Respect local cultures and specific contexts while maintaining a cohesive global identity
- Foster cross-country exchange of best practices
- Develop local leadership aligned with the global strategic vision
- Promote a culture of continuous innovation and organisational learning

2. Stakeholders

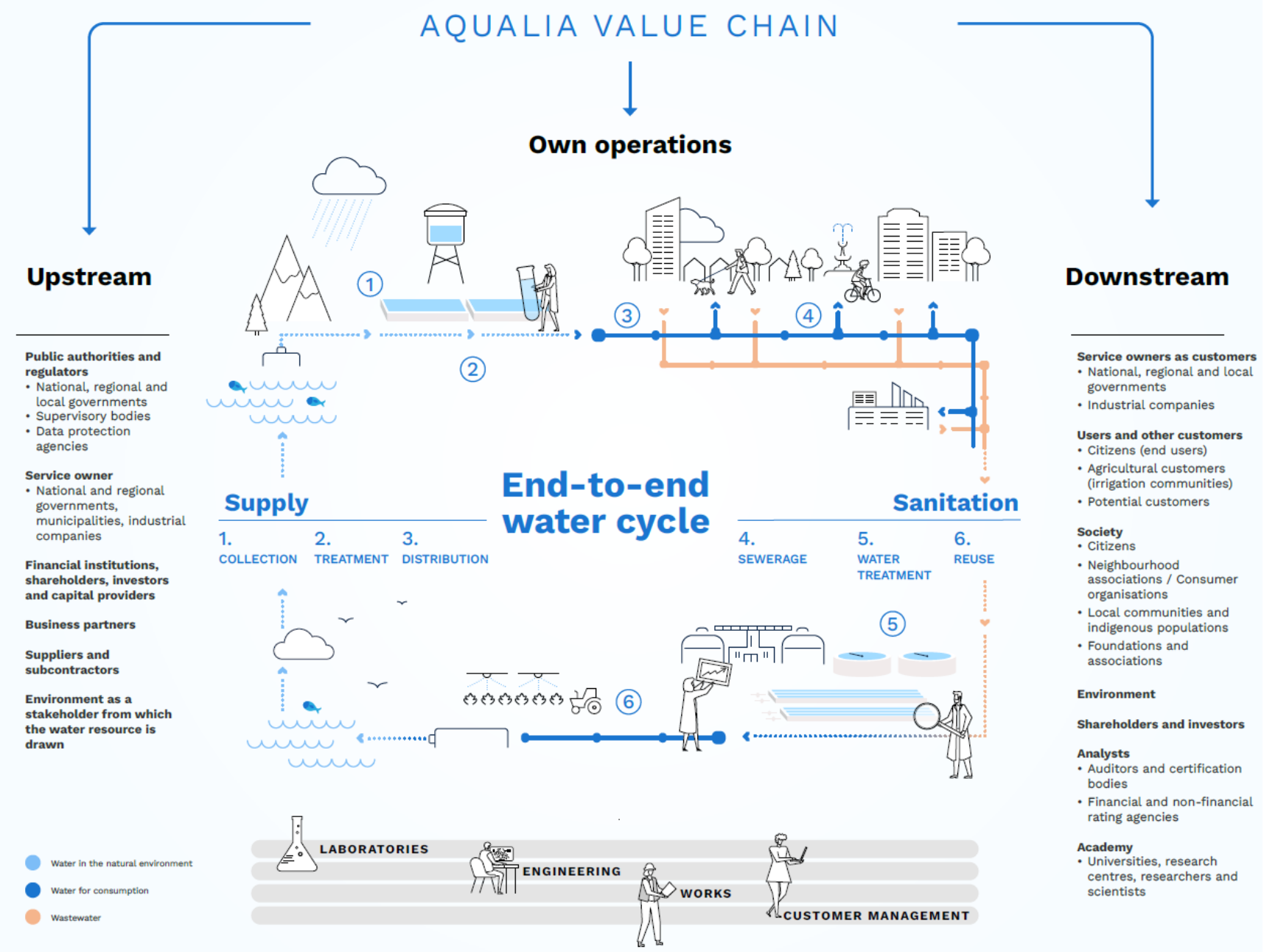
Relationship and dialogue with our stakeholders

At Aqualia, ongoing dialogue with our stakeholders enables us to better understand the impact of our management and to align our decisions with their needs and expectations. As operators of an essential public service, we promote **transparent communication based on active listening** and **commitment to continuous improvement.**

With this aim, we have defined a roadmap that prioritises the needs and expectations of our stakeholders and consolidates the main channels of communication and dialogue with each of them.

Stakeholders	Expectations and needs	Commitments	Channels for communication and dialogue		
Society	• Collaboration in associations • Assessment of impact on the development of new projects • Support and social and environmental collaboration • Transparency • Handling of requests and complaints • Adaptation and mitigation in the face of climate change	Generate a positive impact through responsible and sustainable water management, contributing to community well-being and care for the environment	• Sustainability Report • News items on specialist websites • Corporate website www.aqualia.com • Citizen information web portals • Other Aqualia websites and campaigns • Social networks	• Events, meetings, breakfasts and open days • WhatsApp working groups in Aqualia • E-mail, telephone, etc. • Focus group • Customer communication channels • Customer service offices	• Participation in external working groups, associations, etc. • Agreements and forums for social collaboration and monitoring of new projects • Participation in courses, seminars, conferences, etc. • Media
Academy	• Joint projects • Funding of specific events and programmes • Innovation projects • Improvement of energy efficiency	Promote research, innovation and knowledge transfer, driving sustainable solutions and the development of talent for the future	• Forums • Open days	• Work groups • Sustainability Report	• Technical reports • Corporate website www.aqualia.com and project-specific websites
Employees	• Internal communication • Awareness of the company's strategy • Mobility • Training • Career development plans • Work-life balance • Safe and healthy workplace • Definition of responsibilities and roles	Promote a safe, inclusive and motivating working environment, driving professional development, well-being and pride in belonging	• Institutional dialogue and meetings with the Board and committees • Administration • Aqualia ONE Intranet • Be Aqualia employee app • WhatsApp working groups	• Sustainability Report • Aqualia Global News (newsletter) • Events, meetings, breakfasts and open days • Social networks • E-mail	• Flashes, newsletter • Offices • Corporate website www.aqualia.com • Job search websites • Internal meetings, committees and working groups
Shareholders	• Greater presence on the market. Higher profitability • Be a benchmark • Brand reputation • Receive timely information about the organisation's accounts • Have appropriate information channels available	Ensure transparent and responsible management focused on generating long-term sustainable value through responsible governance that fosters trust and facilitates strategic decision-making	• Corporate reports • Sustainability Report • E-mail: news flashes, newsletter	• Corporate website www.aqualia.com • Aqualia Intranet • Board of Directors	• Internal meetings, committees and working groups • Media
Investors and analysts	• Transparency • Proactiveness	Maintain transparent and ongoing dialogue with our investors and analysts, providing clear and accurate information that reflects our performance, sustainable strategy and long-term value creation	• Certification and accreditation audits • Communication with Commercial and Technical departments • Participation in standardisation working groups	• Participation in courses, seminars, conferences, etc. • Sustainability Report • Corporate website www.aqualia.com	• Events, meetings, breakfasts and open days • E-mail • Media
Customers and users	• Joint projects • Funding of specific events and programmes • Innovation projects • Improvement of energy efficiency • Fulfilment of service needs	Offer an efficient, safe and sustainable service, ensuring quality, innovation and proximity in the management of the integrated water cycle	• Corporate website www.aqualia.com • Events, meetings, breakfasts and open days • Other Aqualia websites and campaigns • News items on specialist websites • Social networks	• Citizen information web portals • Customer service offices • Information included in the invoice (Infoaqualia) • Sustainability Report • Customer satisfaction surveys	• Focus group • Customer service channels • Media • Corporate brochures • Email • WhatsApp working groups
Suppliers and subcontractors	• Clarity and timeliness in contracting and payments. • Joint strategy within the value chain • Joint innovation projects • Safe and healthy workplace • Clear definition of specifications to design and deliver services appropriately and in compliance	Build relationships based on ethics, transparency and collaboration, jointly driving innovation, efficiency and sustainability across the value chain	• Corporate reports • Sustainability Report • E-mail, telephone • Corporate website www.aqualia.com • Aqualia ONE Intranet	• Social networks • Supplier forum • Supplier survey • Media	
Public authorities and regulators	• Safe and healthy workplace • Assessment of additional requirements in contracting (public procurement, energy efficiency and circular economy, BIM, etc.)	Maintain transparent and collaborative dialogue, ensuring regulatory compliance and contributing to the development of sustainable solutions for managing the integrated water cycle	• Corporate website www.aqualia.com • Events, meetings, breakfasts and open days • Meetings • Other Aqualia websites and campaigns	• Citizen information web portals • News items on specialist websites • Media • Social networks	• Sustainability Report • E-mail, telephone • Satisfaction surveys • WhatsApp working groups
Business partners	• Financial involvement • Greater management presence	Foster trusting and collaborative relationships, generating synergies that strengthen innovation, sustainability and mutual growth	• Corporate reports • Sustainability Report • E-mail	• News flashes, newsletter • Corporate website www.aqualia.com • Aqualia ONE Intranet	• Social networks • Workshops, meetings • Work groups

3. Value Chain



4. Double Materiality Review

Analysis of Secondary Sources, Competitors and Internal Sources

The review of Aqualia's double materiality has been conducted through a comprehensive and structured analysis of multiple information sources, ensuring the complete identification of material topics relevant to the organisation and its stakeholders.

01

Analysis of Secondary Sources and Regulatory Framework

Systematic review of recent sectoral reports, national and European regulatory frameworks, and documents related to ESG standards and ratings. Key documents analysed include: European Water Resilience Strategy, EC Water Security for people, economy and environment, WWF reports on adaptation to extreme climate-change impacts (floods and droughts), sector analyses by Fluidra and IEA, and rating methodologies (MSCI, Sustainalytics, S&P, SASB Water Utilities and Services Standard).

02

Competitive Materiality Benchmarking

Detailed comparative analysis of the material topics identified by Aqualia's main competitors in the water sector: Veolia Water, Suez, Saur, Facsa and Global Omnium. This analysis makes it possible to identify material issues common to the sector, as well as company-specific topics that may represent opportunities for differentiation or areas requiring priority attention. Sustainability reports and available CSRD disclosures from these competitors have been reviewed to ensure robust benchmarking.

03

Internal Sources Analysis

Comprehensive evaluation of strategic internal documentation: previous analyses of material topics and IROs, the April 2025 situation diagnosis, the May 2025 CSRD compliance gap analysis, and Aqualia's updated corporate risk map. This internal review ensures alignment between the identified materiality and the risks and opportunities already managed by the organisation.

4. Double Materiality Review

CSRD Material Topics and Integrated Risk Management

Reformulation of Material Topics in line with CSRD

Based on the 12 major ESG themes identified through the contextual analysis, competitor review and internal sources, Aqualia has defined 16 specific material topics aligned with the requirements of the **Corporate Sustainability Reporting Directive (CSRD).**

This reformulation process has made it possible to identify **five new material topics** consistent with the five Areas of Action and recommendations of the European Union in its Water Resilience Strategy:

1. Commitment to **the development of our talent**
2. Commitment to **labour rights and human rights in the supply chain**
3. Technological and infrastructure **innovation**
4. Financial management and **green financing**
5. Commitment to **cybersecurity** and incident response

These five new material topics strengthen **Aqualia**'s capacity to respond to the sector's emerging challenges and to meet regulatory and stakeholder expectations in the field of sustainability

The integration of CSRD material topics with the corporate risk map ensures a holistic and coherent management of the ESG factors that affect **Aqualia**'s sustainability and resilience, enabling an effective strategic and operational response to the challenges of the water sector.

Integrated Risk Map

Aqualia's risk management integrates Strategic (S), Compliance (C) and Financial (F) risks, aligned with the ESRS (European Sustainability Reporting Standards) under the CSRD.

4. Double Materiality Review

AQUALIA'S MATERIAL TOPICS

MATERIAL ASPECTS		MATERIAL TOPIC	ASSOCIATED IRO AND ESRS		AQUALIA'S STRATEGIC SUSTAINABILITY PLAN – ASSOCIATED STRATEGIC LINE
Environmental aspects	Water efficiency, commitment to climate change and biodiversity regeneration	Mitigation and adaptation to climate change	9 IRO	E1 ESRS	SL1
		Sustainability of the water resource	9 IRO	E3 ESRS	SL1
		Management of impact on and preservation of biodiversity	6 IRO	E4 ESRS	SL1
		Circular management of resources and use of by-products	3 IRO	E5 ESRS	SL1
	Innovation in caring for the planet	Technological and infrastructure innovation	5 IRO	G1 ESRS	SL1, SL2
		Digitalisation	2 IRO	S4 ESRS	SL1, SL2
Social Aspects	Environment for the development, safety and diversity for our talent	Commitment to the development of our talent	4 IRO	S1 ESRS	SL3
		Health and safety of our employees	2 IRO	S1 ESRS	SL3
		Diverse, equitable and inclusive culture	3 IRO	S1 ESRS	SL3
	Satisfaction and safety of our customers	Customer service and management	4 IRO	S4 ESRS	SL2, SL6, SL7
		Service resilience and security	8 IRO	S4 ESRS	SL2, SL6, SL7
Governance Aspects	Ethical conduct in Aqualia and along its value chain	Culture of legal, contractual and social compliance	11 IRO	G1 ESRS	SL4, SL6
		Commitment to labour rights and human rights in the supply chain	4 IRO	G1 ESRS	SL4, SL6
		Fight against corruption	3 IRO	G1 ESRS	SL4, SL6
		Financial management and promotion of green finance	6 IRO	G1 ESRS	SL4
		Commitment to cybersecurity: prevention and effective response	4 IRO	G1 ESRS	SL2

STRATEGIC LINES OF AQUALIA'S STRATEGIC SUSTAINABILITY PLAN

- **SL1** Climate emergency and care for the planet
- **SL2** Technology for integrated management
- **SL3** People management
- **SL4** Financial and business strategy
- **SL5** Ethics and compliance
- **SL6** Strategic communication
- **SL7** Partnerships for positive impact

4. Double Materiality Review

Risk List (I/II)

Strategic (S), Compliance (C) and Financial (F)

ESRS (CSRD)	Código y definición	Dueño
G1. Anti-corruption G1. Legal, contractual and social compliance culture	S1: Inadequate management of reputational image	**Director of Communication, Brand and Public Affairs**
G1. Legal, contractual and social compliance culture	S2: Adverse changes in the political, legal or socioeconomic environment of a country	**Director Spain, Europe/Americas, Africa/Asia**
S1. Health and safety of our employees	C1: Non-compliance with health and safety standards	**People and Culture Director**
G1. Legal, contractual and social compliance culture	C2: Non-compliance with sector-specific regulations in the water sector and legal requirements in each country	**Director Spain, Europe/Americas, Africa/Asia**
G1. Legal, contractual and social compliance culture	C3: Non-compliance with obligations established in contracts with Public Administrations and Private Entities	**Director Spain, Europe/Americas, Africa/Asia**
G1. Legal, contractual and social compliance culture	C4: Non-compliance with the Corporate Compliance Management System	**Compliance Director**
G1. Legal, contractual and social compliance culture	CSN: Tax Non-compliance	**Compliance Director**
Green financing and financing management (AQ)	F1: Loss of financing capacity **NEW**	**Chief Financial Officer**
Green financing and financing management (AQ)	F2: Negative fluctuations in exchange rates	**Chief Financial Officer**
Green financing and financing management (AQ)	F3: Negative fluctuations in interest rates	**Chief Financial Officer**

4. Double Materiality Review

Risk List (II/II)

Operational (O)

ESRS (CSRD)	Código y definición	Dueño
E3. Water resource sustainability Technological and Infrastructure Innovation S4. Service resilience and reliability	O1: Deficiencies in the quality and quantity of supplied water due to poor operation, lack of investment or inadequate maintenance	**Director Spain, Europe/Americas, Africa/Asia**
E3. Water resource sustainability E4. Impact management and biodiversity preservation E5. Circular economy: resource and by-product recovery	O2: Deficiency in the quality of discharges and emissions and their impact on the state of ecosystems	**Director Spain, Europe/Americas, Africa/Asia**
E3. Water resource sustainability S4. Service resilience and reliability	O3: Insufficient response capacity to maintain service continuity under exceptional crises (climatic, health or social contexts)	**Director Spain, Europe/Americas, Africa/Asia**
G1. Legal, contractual and social compliance culture	O4: Insufficient insurance coverage	**Chief Financial Officer**
E1. Climate-change mitigation and adaptation	O5: Inadequate response to climate-change adaptation (climate-change risk: agricultural and water stress)	**Director of Studies and Operations**
G1. Legal, contractual and social compliance culture	O6: Failures in tendering processes and contract awards	**Director of Studies and Operations**
E1. Climate-change mitigation and adaptation S4. Service resilience and reliability	O7: Loss of competitive capacity in the water market to address the challenges of the energy transition	**Director of Strategy and Sustainability Development**
Digitalisation	O8: Poor deployment and insufficient implementation of digital solutions	**Customer and IT Management Director**
S4. Cybersecurity and effective response	O9: Deficient implementation of a Cyberattack Response Plan	**Customer and IT Management Director**
S4. Customer management and service	O10: Deficiencies in customer management and information	**Customer and IT Management Director**
G1. Commitment to labour rights and human rights in the supply chain	O11: Inadequate supplier relationship and company management	**Procurement Director**
S1. Commitment to the development of our talent	O12: Lack of key talent and cultural development	**People and Culture Director**
S1. Commitment to the development of our talent	O13: Insufficient investment in Human Capital and loss of competitiveness **NEW**	**People and Culture Director**
S1. Diverse, equitable and inclusive culture	O14: Instability in labour relations	**People and Culture Director**

4. Double Materiality Review

Opportunity List

Strategic (S), Compliance (C1) and Operational (O)

ESRS (CSRD)	Código y definición
G1. Cultura de cumplimiento legal, contractual y social Gestión de la financiación e impulso de la financiación verde	OpS1: Aprovechar la ventaja competitiva en licitaciones debido a una fuerte estrategia en criterios ESG
G1. Cultura de cumplimiento legal, contractual y social	OpS2: Robustecer la reputación empresarial incrementando la acción social de la empresa
Innovación Tecnológica y de las Infraestructuras	OpF1: Aprovechar el ecosistema de innovación para captar financiación
Gestión de la financiación e impulso de la financiación verde	OpF2: Robustecer el marco ESG para facilitar el acceso a financiación verde y sostenible.
E3. Sostenibilidad del recurso hídrico E4. Gestión del impacto y preservación de la biodiversidad E1. Mitigación y adaptación al cambio climático Gestión de la financiación e impulso de la financiación verde	OpF3: Participar en mercados ambientales emergentes
E3.Sostenibilidad del recurso hídrico E1. Mitigación y adaptación al cambio climático S4. Resiliencia y seguridad del servicio	OpO1: Fortalecer las infraestructuras urbanas del agua ante eventos climáticos extremos
E3. Sostenibilidad del recurso hídrico Resiliencia y seguridad del servicio	OpO2: Impulsar los recursos hídricos alternativos
Innovación Tecnológica y de las Infraestructuras S4. Resiliencia y seguridad del servicio	OpO3: Innovar desde un punto de vista tecnológico para cumplir estándares de calidad sin comprometer la asequibilidad
E5. Economía circular: optimización de recursos y valorización de subproductos	OpO4: Valorizar productos de las EDAR e IDAM como palanca de competitividad
Digitalización Compromiso con la ciberseguridad: prevención y respuesta efectiva	OpO5: Impulsar la digitalización y la ciberseguridad para obtener una importante ventaja competitiva
G1. Cultura de cumplimiento legal, contractual y social	OpO6:Fortalecer el compromiso interno mediante aspectos ESG